

GET PAID WITHOUT COURT

The Freelancer's Step-by-Step System to Collect What You Earned



INTRODUCTION

You finished the work. You delivered on time. You even stayed late to accommodate their last-minute revision request. The invoice went out clean and professional.

And now? Silence.

Maybe they've seen your email. Maybe they haven't. Either way, the check didn't come. Rent is due in two weeks, and you're mentally rehearsing how to follow up without sounding desperate or pushy or—god forbid—greedy. You did good work. Why does asking to be paid feel so icky?

Here's the thing nobody talks about in freelancer circles: this isn't a you problem. It's a system problem. You were never taught how to collect money. School doesn't teach it. Your parents probably didn't model it. And your industry doesn't exactly offer continuing ed on "how to get clients to pay their goddamn invoices."

What you have absorbed is years of expensive trial and error. The client who ghosted after the final deliverable. The "we had budget issues" email that arrived three months too late to be useful. The time you swallowed a \$2,000 loss because pursuing it felt like it would cost more than you'd recover.

This guide exists because you deserve to get paid for work you completed. Full stop.

What follows is a 12-step system that takes you from "polite reminder" to "lawyer on standby"—without ever filing a court document unless you absolutely have to. You'll get scripts you can copy-paste tonight, templates you can adapt for your business, and decision trees that remove the guesswork (and the emotion) from collection.

If you've ever lost \$500 or more to an unpaid invoice, you needed this guide. Let's make sure it doesn't happen again.



PART 1: THE FOUNDATION

Set Up Before the Work Starts

Here's a truth that'll save you hours of heartache: the best time to solve a payment problem is before the work begins. A lot of collection pain comes from freelance habits that feel friendly and professional but actually weaken your position.

In this section, you're going to build the infrastructure that makes getting paid automatic—or at least, makes it much harder for clients to stiff you. We're talking contracts that actually protect you, payment structures calibrated to risk, and delivery documentation that prevents the "I never received that" defense.

Key Takeaway: Prevention beats collection. Every hour you spend building solid systems before the work starts saves three hours of chasing payment afterward.

Chapter 1: Design Your Bulletproof Contract

Let's start with the uncomfortable truth: most freelance contracts are almost useless in a collection scenario. They're too vague, too one-sided in the client's favor, or just a handshake and a hope.

Your contract doesn't need to be 40 pages of legalese. It needs to contain three specific elements that address the vulnerabilities responsible for roughly 80% of freelance payment disputes. Identify these in your current agreements and fix them now.

The Three Contract Vulnerabilities

1. Scope Creep Without a Price Tag

Every freelance contract has an implied scope, but most don't define it explicitly. This is a problem when a client asks for "just a few small tweaks" that turn into 12 hours of additional work. You're now working for free, and the original invoice doesn't reflect reality.

Your contract needs a clear scope definition clause. Here's language that works:

"The project scope includes [specific deliverables]. Any additional requests beyond this scope require a written change order and agreed-upon pricing before work begins. Work performed without an approved change order will be billed at [hourly rate or fixed fee]."

This gives you leverage when the client inevitably expands the project. You're not being difficult—you're following the agreement you both signed.

2. Milestones Without Consequences

Most contracts list **what** gets delivered but not **when** payment is tied to **which** deliverable. This creates a common problem: client receives work, payment is due "upon completion," and suddenly they're too busy to review it. Weeks pass.

Define payment milestones explicitly. Link specific deliverables to specific payment amounts on specific dates. Example:

"Project consists of three phases: Phase 1 (Design Concepts) at 30% deposit, Phase 2 (Production) at 40% of total, and Phase 3 (Final Deliverables) at 30% upon completion. Each phase payment is due within 5 business days of written client approval."

Now you've created discrete moments where payment is triggered. The client can't hide behind "we haven't finished reviewing" when they've already approved the milestone.

3. Late Fees Without Teeth

Many freelancers include late fee language that sounds scary but has no real enforcement mechanism. "A 1.5% monthly interest charge" doesn't move anyone if it's not clear what happens when payment is 60 days late.

Your late fee clause needs two components: a trigger and a consequence.

Trigger: "Payment is considered late if not received within [X] business days of the due date."

Consequence: "If payment is 15 days overdue, client agrees to reimburse freelancer for any collection costs, including reasonable attorney fees. If payment is 30 days overdue, freelancer reserves the right to 暫停 work until payment is received or to terminate the contract with full payment due for work completed."

That second part matters. You're not just charging interest—you're giving yourself leverage to stop working before the debt grows larger.

Action Step: Review your current contract template today. Find the sections covering scope, milestones, and late payment. Rewrite each one using the language above as a starting point. Adjust to fit your business, but make sure every element is present.

Chapter 2: Structure Deposits and Milestone Payments

The 50% deposit rule exists for a reason—it's a reasonable starting point that protects both parties. But it's not a universal solution. Sometimes 50% is too much for the client to swallow on a small project. Sometimes it's dangerously low for a high-value engagement.

Here's the real question: what percentage protects *your* specific risk in *this* specific deal?

Risk Factors That Should Adjust Your Deposit

Three factors determine what deposit you should request:

Project Duration: A one-week project has different risk than a three-month engagement. Longer projects mean more opportunity for client financial problems, scope creep, or relationship deterioration. Add 10-20% to your deposit for projects extending beyond 6 weeks.

Client Relationship History: New clients are riskier than repeat clients. If you've worked together before and they've paid reliably, you can be more flexible. First-time clients get standard or higher deposits.

Total Dollar Amount: Larger invoices are more painful to write off. A \$500 project is an inconvenience if unpaid. A \$15,000 project is a crisis. For engagements exceeding \$10,000, consider structuring payment across multiple milestones rather than just a deposit and final payment.

The Deposit Calculator

Use this framework:

PROJECT RISK LEVEL	DEPOSIT	MILESTONE PAYMENTS
Low (repeat client, small project, <4 weeks)	25-30%	70-75% at delivery
Medium (new client, moderate project)	50%	50% at delivery
High (large project, long timeline, new client)	30-40%	30% at midpoint, 30-40% at delivery
Very High (\$10k+, 3+ months)	25-30%	25% at milestones, 45-50% at delivery

When to Demand 100% Upfront

Some engagements warrant full payment before any work begins:

- Projects under \$500 where the deposit overhead isn't worth the hassle
- Clients with a history of non-payment (you know who they are)
- Projects where you're creating custom, non-reusable work
- Engagements where you've already experienced payment problems with this client

100% upfront feels awkward to request. But if a client balks, that's information. Anyone unwilling to pay in full for a small project before seeing any work is signaling something about their relationship with money.

The Payment Schedule Template

Create a simple milestone schedule you can paste into proposals. Example:

"Payment Schedule: 30% deposit due upon contract signing. 35% due upon approval of [major deliverable]. 35% due within 14 days of final delivery. Late payments subject to 1.5% monthly interest and collection costs."

Action Step: Pull up your last three projects. Calculate what percentage you actually requested upfront versus what this framework would recommend. If you consistently under-collected, adjust your standard terms for future proposals.



Chapter 3: Create Delivery Documentation That Locks In Owed Payment

Here's a scenario that happens constantly: you deliver the work. The client uses it. Six weeks later, they haven't paid. You reach out. Their response: "We never approved that version" or "The deliverables didn't meet specifications" or my personal favorite, "I don't think we ever received the final files."

These are often legitimate misunderstandings. But they're also convenient excuses that conveniently eliminate the obligation to pay.

What you need is a delivery confirmation system that creates a clear paper trail: work was sent, client received it, and client approved it (or had adequate opportunity to review and request changes).

The Three-Part Delivery Confirmation

Part 1: Proof of Sending

Every time you deliver a file, document **when** and **how** you sent it. Email with attachment creates an automatic timestamp. File-sharing links (Dropbox, Google Drive, WeTransfer) generate receipt confirmations. Keep these. Create a folder for each project where you save sent emails and delivery confirmations.

Part 2: Explicit Request for Confirmation

Don't just send files and hope for the best. Include a brief confirmation request:

"Please confirm receipt of this deliverable. If I don't hear back within 48 hours, I'll assume it arrived safely and we can proceed to your review period."

This creates two things: an expectation of acknowledgment and a default timeline. If they don't respond, you're protected.

Part 3: Review Period and Approval

Define a review period in your contract—typically 5-7 business days for most projects. State that if the client doesn't request changes within the review period, the deliverable is considered approved.

"Client has 5 business days from delivery to request revisions. Failure to request revisions within this period constitutes acceptance of the deliverable as-is."

Yes, this sounds aggressive. But you're not preventing the client from requesting changes—you're simply protecting yourself from indefinite review periods that delay payment indefinitely.

The Delivery Confirmation Template

Here's an email template you can adapt:



Subject: Deliverable Ready for Review — [Project Name]

Hi [Client Name],

The [deliverable name] is ready for your review. Please find it attached/at this link: [link].

I'm requesting confirmation of receipt by end of day tomorrow. Once confirmed, this begins your 5-business-day review period per our contract. Please let me know if you have any questions or need anything clarified.

Looking forward to your feedback.

[Your Name]



Action Step: Create a "Project [Name]" folder for your current project. Set up subfolders for: Contracts, Proposals, Invoices, Delivery Confirmations, and Communications. Save this template as a draft you can copy-paste for each delivery.



Key Takeaway: Strong contracts, smart deposits, and documented delivery eliminate most collection problems before they start. These three chapters are your foundation—do them right, and the rest of this guide might never become necessary.



PART 2: THE FIRST 30 DAYS

Early Intervention Before Relationships Fracture

So the work is done. The invoice went out. And now you're in that uncomfortable space where you're waiting to see if payment arrives on time—or if this becomes a problem.

The first 30 days after an invoice goes overdue are critical. This is when most invoices either get paid or spiral into months of silence. The difference between recovery and write-off often comes down to what you do in these first few weeks.

Here's the mindset shift that changes everything: early follow-ups aren't awkward. They're professional. Businesses of all sizes follow up on outstanding receivables. Vendors do it. Contractors do it. Your client's accounts payable department *expects* it. If you're not following up, you're actually being unprofessional—inattentive to your own business.

In this section, you'll build the tracking system that keeps payment visible, send the first follow-up that resets terms without burning bridges, and escalate appropriately before emotions escalate.

Key Takeaway: Follow up early and often. The longer an invoice ages, the harder it is to collect. Start soft, escalate consistently.



Chapter 4: Build Your Payment Monitoring Dashboard

Most freelancers track invoices in their head. They know in general who's paid and who hasn't, but they don't have a clear picture of aging, patterns, or total exposure. This creates two problems: you miss early intervention windows, and you don't have data to make smart decisions about repeat clients.

You need a simple dashboard that shows every outstanding invoice, its age, and its status.

The Minimum Viable Tracker

At a minimum, your tracking system needs four columns:

1. **Client Name**
2. **Invoice Amount**
3. **Invoice Date**
4. **Status** (On Track / 1-7 Days Overdue / 7-14 Days Overdue / 14-30 Days Overdue / 30+ Days Overdue)

That's it. You can build this in a spreadsheet in 20 minutes. Or you can use any number of free or low-cost invoicing tools that track aging automatically.

What This Shows You

Once you have visibility, patterns emerge:

Serial Late-Payers: You notice the same three clients are always 7-14 days behind. This changes how you structure deposits with them going forward.

Total Exposure: Seeing that you have \$12,000 in overdue invoices across six clients makes the collection effort feel more urgent—and more legitimate. You're not chasing \$800 from one difficult client. You're managing \$12,000 in receivables.

Intervention Windows: You notice Invoice X crossed from "7 days overdue" to "14 days overdue" last Friday. Time to escalate.

Automated Reminders

Set calendar reminders that trigger action at each interval:

- **Invoice Due Date:** No action needed—just note it
- **1 Day Overdue:** Send courtesy nudge (Chapter 5)
- **7 Days Overdue:** Send second follow-up with increased pressure (Chapter 6)
- **14 Days Overdue:** Send formal warning, mention involvement of attorney/collection process
- **30 Days Overdue:** Initiate collection escalation (Part 3)

If you're using accounting software like FreshBooks, Wave, or QuickBooks, you can automate these reminders. Set them up once and they'll trigger automatically.

Action Step: Open a new spreadsheet today. Create the four-column tracker above. Enter every outstanding invoice you currently have. Set calendar reminders for each action interval. This takes 30 minutes and will pay dividends every month.



Chapter 5: Send the 24-Hour Overdue Message

Here's where most freelancers either under-shoot or over-shoot.

Under-shooting looks like: "Hey, just wanted to make sure you got that invoice! No rush, just checking in :)" This is so soft it doesn't register as a follow-up. The client has received dozens of emails today. A vague friendly check doesn't signal urgency.

Over-shooting looks like: "Our records indicate your invoice is PAST DUE. Please remit payment IMMEDIATELY or face legal consequences." This burns the relationship and often triggers defensiveness rather than payment.

The sweet spot is a 24-hour overdue message that's firm, professional, and completely devoid of apology.

The Three-Sentence Framework

1. State the facts without judgment
2. Re-state the terms
3. Specify the next action

Here's a template:

"I noticed Invoice [#] for \$[amount] is showing as unpaid past the [date] due date. Per our agreement, payment was due [terms]. Please send payment by [date] or let me know if there's an issue I should be aware of."

That's it. Three sentences. You can send this in under a minute.

Why This Works

This message accomplishes several things:

- It doesn't apologize for following up (you're not sorry)
- It doesn't assign blame (you're not accusing)
- It re-states the agreement (you're reminding, not demanding)
- It offers an off-ramp (if there's a real problem, they can explain)

The last point is genuinely important. Some overdue invoices have legitimate issues—billing address errors, procurement delays, disputed quality. The 24-hour message gives the client a chance to surface those issues before you escalate.

But Don't Be Vague

The phrase "let me know if there's an issue" works because it implies you *will* escalate if you don't hear back. The implicit threat is there even though you haven't made it explicit.

Action Step: Copy the template above into a document called "Message Templates." Customize it with your invoice terms. Practice sending it—type it out, read it back, notice how it doesn't feel awkward or aggressive. Send it tomorrow if you have an overdue invoice.



Chapter 6: The 7-Day Escalation

If the 24-hour message didn't get a response, or if it got a "I'll get to that" that's now seven days old, you escalate. This is where many freelancers get stuck—they sent one message, didn't get a satisfying response, and now they're unsure whether to push harder or let it go.

Push harder. You're not being difficult. You're running a business.

The 7-Day Message

At seven days overdue, the courtesy period is over. Your message should be more direct:

"I haven't received payment for Invoice [#], which is now 7 days overdue. I need to know if there's a processing issue on your end or if the payment has been sent. If I don't receive payment or hear from you by [date—48 hours from now], I'll need to escalate this to my collection process."

Notice what's happening here: you're giving a specific deadline and a specific consequence. You're not threatening to "explore options" or "discuss next steps." You're stating clearly that this goes to collection.

What to Do If You Get a Response

Sometimes this escalation works and you get payment within 24 hours. Sometimes you get an excuse—"The check is in the mail" is still a thing, apparently, despite being absurd in 2024. Or you get a promise: "We're processing it Friday."

If you get a response, acknowledge it and set a new deadline:

"Great, I appreciate the update. I'll look for payment by Friday the 15th. If it doesn't arrive, I'll need to initiate collection procedures."

Then follow up on that date. No exceptions. If they promised Friday and nothing arrived, you escalate to the 14-day message.

If You Don't Get Any Response

If you've sent two messages with no reply, something's wrong. The client is either ignoring you (intentional or overwhelmed) or something else is happening—company issues, personal issues, or they're hoping you'll just go away.

At this point, you have three options:

- 1. Send one more message** via a different channel (phone call, text, LinkedIn message)
- 2. Check social media** to see if the company is still operating or if there are any signs of trouble
- 3. Escalate to formal collection** (covered in Part 3)

Action Step: If you have any invoices 7+ days overdue with no response, send the 7-day escalation message today. Then mark your calendar for 48 hours from now. If payment doesn't arrive, you're moving to the next phase.



Chapter 7: The 14-Day Warning Shot

Fourteen days is a psychological threshold. An invoice that's two weeks overdue isn't "just delayed"—it's a problem. By this point, you have enough data to know whether you're dealing with a disorganized client or a dishonest one.

Your 14-day message needs to be explicit about consequences:

"Invoice [#] is now 14 days overdue. I'm required to inform you that if payment isn't received by [date—5 business days from now], I'll be engaging my attorney to pursue collection. You'll be responsible for the original invoice amount plus any associated collection costs."

Yes, this is a bluff. No, you probably don't want to actually hire an attorney for a \$2,000 invoice. But you might, and the client doesn't know that. More importantly, most reasonable people respond to explicit legal language differently than they do to vague "please pay" emails.

The Psychological Effect

There's a reason this works: most people don't want to be the person who put a small business owner in the position of hiring a lawyer over a legitimate debt. The shame factor is real. Even clients who are genuinely struggling will usually find a way to pay something or work out a payment plan rather than escalate.

What About Partial Payment?

If a client reaches out at this point and says they can pay half now and half in 30 days, consider it. Getting 50% now is better than getting 0% later. But get the agreement in writing:

"I can accept \$X as a partial payment today, with the remaining \$Y due by [date]. Please confirm this agreement in writing before I hold off on collection."

Some clients will flake on the second payment. But many will honor a written agreement they explicitly accepted.

Action Step: Pull up any invoices at 14+ days overdue. Send the 14-day warning message. Set a calendar reminder for 5 business days out. If no payment or response, proceed to Part 3.



Key Takeaway: The first 30 days of an overdue invoice are your best chance at recovery. Build a tracking system, send follow-ups early, and escalate consistently. Every day you wait is a day the debt gets harder to collect.



PART 3: THE SERIOUS ZONE

30-60 Days: Getting Formal Without Going to Court

We're past the "courtesy nudge" phase. You have an invoice that's been overdue for a month or more, you've sent multiple follow-ups, and the client hasn't paid, hasn't offered an explanation, or has made promises they haven't kept.

This is where most freelancers either escalate aggressively (and sometimes inappropriately) or give up and write off the debt. We're going to do neither. We're going to escalate systematically, understand your legal options clearly, and put real pressure on—without necessarily filing a lawsuit.

The goal in this phase is to make it more expensive and more uncomfortable for the client to not pay than to pay.

Key Takeaway: Your leverage increases as stakes rise. A lawyer's letter is more effective than your email. A formal demand is more effective than a casual request. Use the escalation ladder deliberately.



Chapter 8: The Lawyer Letter

This is the step that makes many freelancers uncomfortable. Involve a lawyer? For my small invoice? But it's also often the most effective step—and it doesn't have to cost much.

When to Use a Lawyer Letter

A formal demand letter from an attorney sends a clear signal: this isn't a casual invoice anymore, this is a legal matter. Use it when:

- The invoice exceeds \$1,000 (below that, lawyer costs may exceed what you recover)

- You've sent 3+ follow-ups with no response
- The client has been non-responsive for 14+ days
- You have clear documentation (signed contract, proof of delivery, explicit invoice)

Don't use it if this is a small amount and the relationship is valuable to you. Sometimes the relationship is worth eating the debt.

How to Get a Lawyer Letter

You have two options:

Option 1: Hire an Attorney

If you have an ongoing relationship with a business attorney, call them. Explain the situation. They'll typically send a demand letter on your behalf for a flat fee—often \$150-300. The letter is simple: here's the debt, here's what they owe, here's what happens if they don't pay.

Option 2: Use a Demand Letter Service

If you don't have a regular attorney, services like DemandLetter.com or Rocket Lawyer offer standardized demand letters for lower costs. These aren't as powerful as a letter from a local attorney who can file in the client's jurisdiction, but they still carry weight.

What the Letter Should Contain

A good demand letter includes:

- The original debt amount
- Any accrued interest or late fees per your contract
- A deadline (typically 10-14 days)
- A statement that failure to pay will result in further legal action
- A request for payment to be sent directly to you or to the attorney

The Follow-Through

If the client pays after receiving a lawyer letter, great. Send a thank-you (genuinely—don't gloat). If they don't respond or don't pay, you now have documentation of formal demand. This matters

if this goes to small claims court later—showing the judge you made repeated, escalating good-faith efforts to resolve this makes your case stronger.

Action Step: Identify any invoices that have crossed 30 days overdue with no response. Get a quote from a local attorney or demand letter service. Decide whether the math works (invoice amount vs. collection costs). If yes, proceed.



Chapter 9: Understanding Your Legal Options

Many freelancers avoid learning about legal collection options because they assume "legal" means "court" and "court" means expensive and scary. But there are several legal options between a demand letter and a lawsuit.

Small Claims Court

Small claims court is designed for disputes under a certain dollar amount (varies by state, typically \$5,000-\$10,000). It's informal, you don't need a lawyer, and filing fees are low (\$30-\$100 depending on jurisdiction). You present your documentation, the judge makes a decision.

Pros: Inexpensive, relatively fast (weeks to months), straightforward if you have documentation

Cons: Still requires your time, may be difficult to collect even if you win, client may no-show or claim bankruptcy

Demand for Arbitration

If your contract includes an arbitration clause (and it should—see Chapter 1), you may be required to pursue arbitration rather than court. This can actually be faster and cheaper than small claims, but requires following the specified process.

Statute of Limitations

Every state has a statute of limitations on debt collection—for written contracts, typically 3-7 years depending on jurisdiction. This is how long you have to pursue legal action. If an invoice is older than this, it's generally not worth pursuing through legal channels.

The Realistic Math

Before pursuing any legal option, do the math:

- Invoice amount: \$3,000
- Attorney demand letter: \$200
- Small claims filing + time investment: 5 hours of your time, \$50 filing fee
- Even if you win, collection is not guaranteed

For invoices under \$1,000, legal action often isn't worth it unless the client is highly likely to pay after judgment. For invoices over \$3,000, it's worth considering.

Action Step: Look up your state's small claims court limit and filing process. Calculate whether any of your overdue invoices are worth pursuing legally. If yes, add small claims to your escalation timeline.



Chapter 10: Payment Plans and Negotiated Settlements

Sometimes clients genuinely can't pay the full amount—not won't, can't. Company cash flow problems, unexpected expenses, genuine hardship. In these situations, you have a choice: push for full payment and get nothing, or negotiate a settlement that gets you something.

When to Offer a Settlement

Consider settlement when:

- The client's financial situation makes full payment unlikely
- The relationship is valuable enough that preserving it matters

- You'd rather have 60% now than 100% never
- The client has been responsive and seems genuinely negotiating

Don't offer settlement to clients who are being evasive, dishonest, or who have a pattern of promising to pay and not delivering.

The Settlement Negotiation

Most clients will accept a settlement in the 50-75% range if you approach it right. Start higher than what you'd accept—you're negotiating, not begging.

"I understand you may be experiencing some challenges. I'm willing to close this out today for 65% of the invoice total—\$ [amount]. That's the best I can offer, and it needs to be paid by [date]. Can you make that work?"

Get any settlement agreement in writing before stopping collection activity. Email is fine:

"To confirm: you'll be paying \$[final amount] by [date] in full settlement of Invoice [#]. I'll hold off on collection action pending receipt. Please reply to confirm."

Once you have written confirmation, you wait. If the payment arrives, great. If it doesn't, you resume escalation.

Action Step: If you're considering settlement on any overdue invoice, draft the negotiation script above. Decide on your minimum acceptable amount before you get on the call or send the message. Stick to it.



Key Takeaway: Between your first follow-up and a lawsuit, there are effective escalation steps: lawyer letters, understanding your legal rights, and settlement negotiations. Use them in order. They're more effective than you think.



PART 4: THE FINAL PHASE

When Standard Collection Has Failed

You've done everything right. You had a solid contract. You tracked invoices carefully. You followed up early and escalated consistently. You sent formal demands and understood your legal options. And still, the invoice isn't paid.

This is where most freelancers give up. They write it off as a loss, maybe leave a bad review for the client (which accomplishes nothing financially), and move on—carrying the lesson that this business is painful.

But there are still options. Some of them cost money; some cost time; some require hard decisions. In this section, we'll cover collection agencies, the small claims process if you haven't used it, and the final accounting: when to write off debt as uncollectable and what to do differently next time.

Key Takeaway: Before you write off a debt, exhaust your options. And learn everything you can from this experience so future invoices are better protected.



Chapter 11: Collection Agencies and Third-Party Recovery

Collection agencies work on commission—they take a percentage of what they recover, typically 25-50% depending on the age and amount of the debt. This means they only make money if they collect, which aligns their incentives with yours.

When to Use a Collection Agency

Collection agencies make sense when:

- The debt is at least \$500-\$1,000 (below that, the commission doesn't incentivize them)

- You're past 60-90 days overdue
- You've exhausted standard follow-up and formal demand
- The debtor has assets or income that could be seized (not always easy to verify)

Don't use a collection agency for small debts where the commission on a successful recovery would be minimal, or for clients who are genuinely struggling—agencies are aggressive, and you may end up destroying a relationship for little recovery.

How Collection Agencies Work

You sell the debt to the agency for a fraction of its value (typically 10-25% of the total), or you hire them to collect on your behalf for a contingency fee (25-50% of whatever they recover). The agency then pursues the debtor using their own methods—calls, letters, credit reporting, and potentially legal action.

This is aggressive and will almost certainly end your relationship with the client. That's the trade-off.

Choosing an Agency

Look for agencies that specialize in B2B or service industry debts—they understand freelance relationships better than consumer-focused agencies. Check reviews, understand their fee structure, and get everything in writing before you sign.

Action Step: If you have debts over \$1,000 that are 60+ days overdue, research collection agencies in your state. Get quotes from two or three. Understand the math before you commit.

Chapter 12: Small Claims Court—Your Final Legal Option

If you haven't filed in small claims court yet, and the invoice amount justifies the time investment, this may be your best remaining option. Small claims court is designed to be accessible without an attorney—and winning gives you a judgment that can be enforced against the debtor's assets.

Preparing Your Case

Gather your documentation:

- Signed contract
- Project scope and any change orders
- Proof of delivery (emails, delivery confirmations, signed acknowledgments)
- Invoice with payment terms
- Record of follow-ups (every email, text, letter)
- Any responses from the client (or lack thereof)

The more documentation you have, the stronger your case.

Filing the Claim

Go to your local small claims court (magistrate court in some states). Fill out the complaint form with the debtor's information, the amount you're owed, and a brief description of the dispute. Pay the filing fee. The court will schedule a hearing.

The Hearing

At the hearing, you'll present your documentation to a judge or magistrate. Be concise and factual:

- Here's the contract
- Here's proof I delivered the work
- Here's the invoice
- Here's proof they received it

- Here are my follow-ups; they never paid

Bring originals of everything. Have copies for the judge. Dress professionally. Speak clearly. Don't ramble.

If you win—and you likely will if you have documentation—the judge will issue a judgment for the amount you requested (or a lesser amount, if appropriate).

Collecting on the Judgment

Here's the catch: winning doesn't guarantee payment. The debtor still has to pay voluntarily, or you have to pursue collection—which can mean garnishing wages, levying bank accounts, or placing liens on property. This process varies by state and can be complicated.

Many small claims judgments go uncollected. But the judgment stays on the debtor's record (which affects their credit) and gives you leverage for settlement negotiations.

Action Step: If you have an invoice over \$1,000 that's 60+ days overdue with no response, file in small claims court. The filing fee is small, and even an uncollected judgment has value.



Chapter 13: Writing Off Debt and Learning Forward

Sometimes, despite everything, you don't collect. The client is judgment-proof, bankrupt, or simply unwilling to pay. The debt becomes uncollectable.

This happens. It doesn't make you a failure. It makes you a business owner who experienced a normal business loss.

Writing Off the Debt

If this is a business debt (you operated as an LLC or corporation, not as a sole proprietor), you may be able to deduct all or part of the loss on your taxes. Consult with a tax professional. Keep thorough records of the debt, your collection efforts, and why it became uncollectable.

If you're a sole proprietor, the rules are different, but the loss may still be deductible as a business bad debt.

The Emotional Work

Non-payment hurts. It feels like rejection, like being told your work isn't valuable. It's worth acknowledging that this is genuinely painful—not just a business inconvenience.

Process it. Talk about it with other freelancers. Add it to your list of lessons learned. But don't let it make you gun-shy about taking clients or raising your prices. The solution to getting stiffed isn't earning less—it's building better systems.

What to Do Differently Next Time

Every unpaid invoice teaches you something. Use it:

- Did you miss warning signs in the client relationship before the project started?
- Was your deposit too low for the risk level?
- Did you skip milestone payments that would have protected you?
- Did you fail to follow up early enough?

Write these lessons down. Update your contract template, your payment structure, or your follow-up process. The debt you couldn't collect this time becomes valuable intelligence that protects future invoices.

Action Step: For any debt you're writing off, spend 15 minutes writing down what you'd do differently. Update your contract, deposit requirements, or follow-up process to reflect that lesson.

CONCLUSION

You made it through. Twelve steps, four parts, from "polite reminder" to "lawyer on standby."

Here's what I want you to remember: getting paid is not awkward. Asking for money you earned is not greedy. Following up on outstanding invoices is not aggressive. These are the basic functions of running a business, and you now have a system to do them well.

The System in Review

Before the work starts: solid contracts, appropriate deposits, documented delivery

When the invoice goes overdue: immediate follow-up, consistent escalation, written records

When standard collection fails: lawyer letters, legal options, settlement negotiations

When all else fails: collection agencies, small claims court, write-off with lessons learned

This guide paired with the **Get Paid Without Court Action Checklist**—the companion PDF that walks you step-by-step through every template, script, and decision tree in this guide. Print it. Keep it by your desk. Use it every time an invoice goes overdue.

Your Next Step

If you have any overdue invoices right now, go back and re-read Part 2. Apply Chapter 5 today. Track your invoices. Send that first follow-up. You've spent time reading about the system—now execute it.

If you don't have any overdue invoices (lucky you), spend an afternoon on Part 1. Review your contracts. Update your templates. Build your tracking system. So when the next overdue invoice comes—and it will—you're ready.

The work is yours. The money is yours. Go get it.



KEY TAKEAWAYS FROM THIS GUIDE

- 1. Prevention beats collection.** Strong contracts, smart deposits, and documented delivery eliminate most payment problems before they start.
- 2. Follow up early and often.** The first 30 days of an overdue invoice are your best chance at recovery. Track everything.
- 3. Escalate systematically.** From courtesy nudge to lawyer letter to small claims, use the escalation ladder deliberately.
- 4. Know your legal options.** Between informal follow-up and lawsuit, there are effective steps—use them before giving up.
- 5. Learn from every loss.** Write off debt, extract the lesson, update your systems. The next invoice is better protected.
- 6. Build this into your business.** Payment collection isn't separate from your freelance work—it's part of how you run a sustainable business.



This guide pairs with the Get Paid Without Court Action Checklist—your step-by-step companion for implementing every template, script, and decision tree covered here.